INTC

Intel Corporation

皮褸黄 Capital · Investment Research Summary for the Owner

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from the AI department reports

CEO VERDICT: VETOED ON PRICE — BUT THE BUSINESS IS IMPROVING

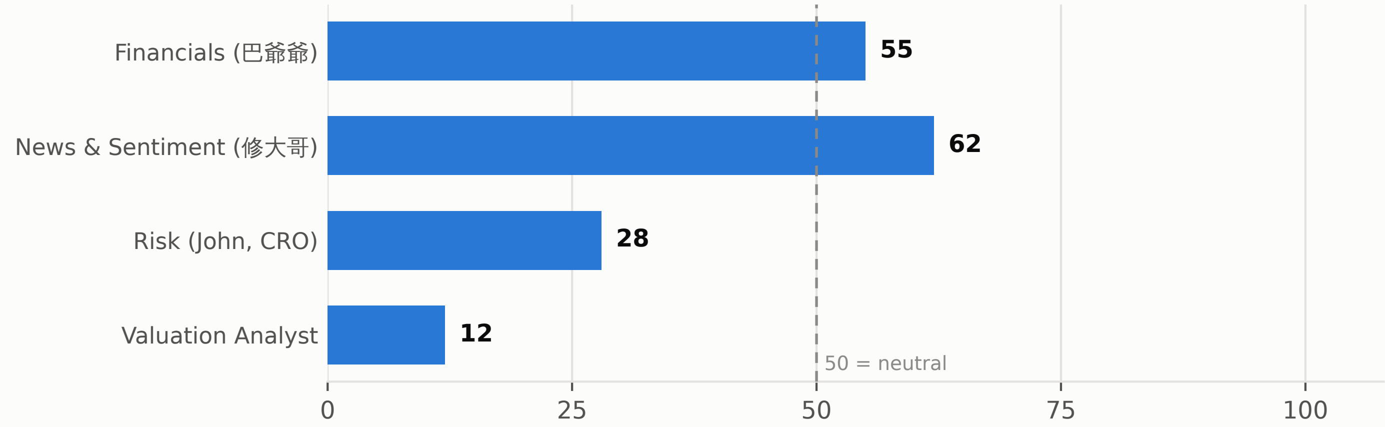
Price (27 Jul 2026)	Fall from high	Firm's fair value	Price vs fair value
$91.68	**−36%**	**$22–55**	**+178% over**

WHAT THE AI DEPARTMENTS CONCLUDED, IN ONE SENTENCE

The first name of the five where the business is genuinely getting better — and the stock is up 343% in a year, above even our own bull case.

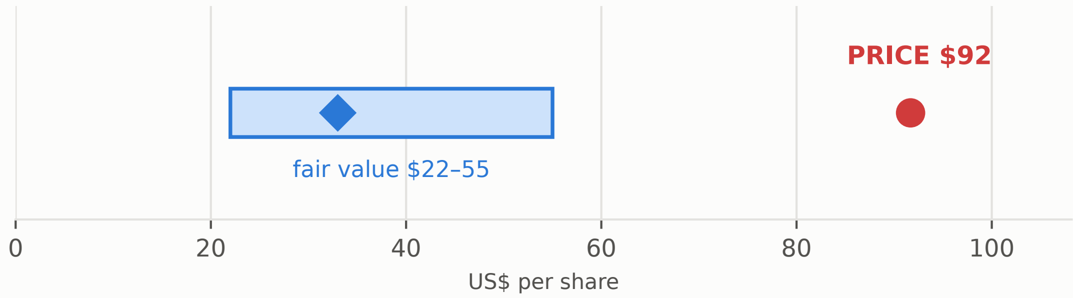
DEPARTMENT SCORECARD

Each AI department scored the idea out of 100. Lower = worse for buying at today's price.



THE PRICE GAP

Blue band = what the firm thinks it is worth. Red dot = what it costs today.



HOW FAR IT HAS FALLEN

INTC highlighted in blue; the other names in the batch shown for context.

Research and decision support only — NOT financial advice. Nothing is executed unless the Owner places the trade.

THE CASE FOR — what the agents found genuinely good

- Q2 2026 was the best quarter in ~15 years: revenue $16.1B (+25%), non-GAAP earnings double what analysts expected, and the data-centre margin more than doubled to 39.5%.
- 18A — the make-or-break manufacturing process — is real and shipping, running ~25% ABOVE its output target. After a decade of missed roadmaps this is the first hard evidence of recovery.
- External foundry revenue hit $293M in ONE quarter versus $307M for ALL of last year — the first sign the factories can sell to outsiders.
- Survival is no longer the question: ~$16B of capital from the US government (~10% stake), NVIDIA ($5B) and SoftBank ($2B). Cash from operations exceeded capital spending in the first half.
- Second-best financial score of the five names analysed, and the only one where the trend is clearly improving rather than peaking.

THE CASE AGAINST — why the firm is not buying

- The stock is up 343% in 52 weeks ($18.97 to $91.68) and trades at ~55x earnings and ~7.2x sales — on revenue that is still 33% BELOW its 2021 peak.
- Our own valuation is $22-55 a share. The price is 9% ABOVE even our deliberately generous bull case of $84.
- Management's OWN plan for 2030, if delivered in full and on time, is worth only $39-46 a share today.
- Still ZERO committed external customers for the next-generation 14A process. Decisions are due within two quarters — a genuine coin-flip.
- Market share keeps falling: x86 down from 72.9% to 67.4% in a year, and Arm chips now take ~50% of big-cloud computing, up from 18% two years ago.
- Shareholders were diluted ~30% to fund the rescue — a permanent ~24% haircut to peak per-share earning power.
- The government warrants (241M shares at $20) can only be exercised if Intel sells most of the foundry — which blocks the obvious way to unlock value.

WHAT WOULD CHANGE THE ANSWER — the tripwires to watch

- PRICE GATE: no consideration at or above $45 a share (the CRO's binding condition).
- Two committed 14A customers by mid-2027 — this is the single biggest swing factor.
- Data-centre margins holding above 35% AFTER the CPU shortage ends (the test comes in 2027-28).
- Any new share issue — capital spending is above $20B in 2026 and higher in 2027.

RISK OFFICER'S RULING (John, CRO — holds veto power)

VETOED — no initiation at or above the $45 price gate

QUALITY CONTROL — what the AI Auditor caught (Ai 管理層)

No report failed. The auditor resolved the price confusion ($91.68 is correct) and confirmed the CEO's framing correction — Intel is NOT a cheap turnaround. It caught two real errors (an overstated cash-flow figure and an uncited '105x earnings' that should be ~55x) but found the bear conclusion survives them: a fully de-biased rebuild still lands at $37-38. Its most important finding was about the FIRM, not Intel: the old scorecard put ~60% of its weight on price, so the best-improving business of the five scored lowest. That scorecard has now been rebuilt with separate Business Quality and Price axes.